

China: Sectoral breakdown of Q2 GDP

The sectoral breakdown of GDP reinforces our view of a *K-shaped* economy, especially in nominal terms. Nominal GDP growth of both manufacturing and financial services sectors reached nearly 9.0% y-o-y in Q2, while property and construction sectors remained in an acute contraction. The higher nominal growth rate was entirely driven by price effects, while real GDP growth slowed broadly across sectors, even the manufacturing sector. Moreover, despite surging stock trading, we are skeptical of the high growth in the financial services sector, given the significant decline in brokerage commission rates, the sharp credit growth slowdown, and worsening bank profit margins. On the demand side, despite the steep FAI contraction, the growth contribution of capital formation only edged down to 1.5pp y-o-y in Q2 from 1.9pp in Q1, rekindling concerns over the quality of investment data quality. The Q2 growth slowdown reinforces our view that both markets and policymakers in Beijing cannot assume the new AI economy will cure China's economic woes. We *expect* a new round of supportive measures to be announced at the mid-year Politburo meeting, although at a moderate scale.

A significant divide between nominal and real GDP growth in manufacturing

Real GDP growth in the manufacturing sector slowed sharply to 4.8% y-o-y in Q2, its lowest since Q4 2023 and down notably from 6.3% in Q1. In sharp contrast, nominal GDP growth in the manufacturing sector increased to 8.8% y-o-y in Q2, the highest reading since Q1 2022 and up from 6.2% in Q1, due mainly to a jump in its deflator to 1.4% y-o-y from -0.1%. This striking divergence was a result of supply disruptions to oil-related sectors and surging prices of oil and chips. The sharp slowdown in real manufacturing growth took place when nominal export growth in USD terms increased to 20.2% y-o-y in Q2 from 14.7% in Q1, suggesting the strength of exports was largely driven by price effects.

Buoyant stock trading continues to boost the financial services sector

Real growth in the financial services sector advanced further to 6.9% y-o-y in Q2, reaching another new high since Q1 2016 and up from 6.5% in Q1. Thanks to a positive deflator, nominal growth in the financial sector increased markedly to 8.9% y-o-y in Q2 from 7.5% in Q1. The financial services sector accounts for 8% of GDP, with its contribution to Q2's nominal GDP growth at 0.66pp y-o-y, making it the second largest growth contributor.

Although the surge in stock trading seems to have been a major factor behind the strong growth in the financial services sector, we see two reasons why the actual boost could be much smaller. First, the average brokerage commission rate for the stock trading has dropped notably from around 0.08% in 2014 to around 0.02% today, amid the broadening price war. Second, the rising share of high-frequency trading could lead to more discounts on commissions. Moreover, China's financial system is still dominated by the banking sector. The higher GDP growth in the financial services sector appears inconsistent with the notable slowdown in credit growth and worsening bank profit margins.

- On stock trading, the daily average stock trading volume surged to a new high of RMB2.9trn in Q2 from RMB2.6trn in Q1, with its year-on-year growth surging to 132.3% y-o-y from 67.9%. The ratio of stock trading volumes over GDP advanced to 4.8X in Q2 from 4.3X in Q1, marking the second highest ratio on record and approaching the peak of 5.7% in Q2 2015.
- On credit growth, growth of aggregate financing and RMB loans dropped to 7.4% y-o-y and 5.2%, respectively, at end-Q2 from 7.9% and 5.7% at end-Q1.
- On bank profitability, according to the latest data from the National Financial Regulatory Administration (NFRA), the weighted average NIM of commercial banks dipped to a new low of 1.40% in Q1 2026 from 1.42% in Q4 2025. We expect bank profitability to remain under pressure in Q2 2026.

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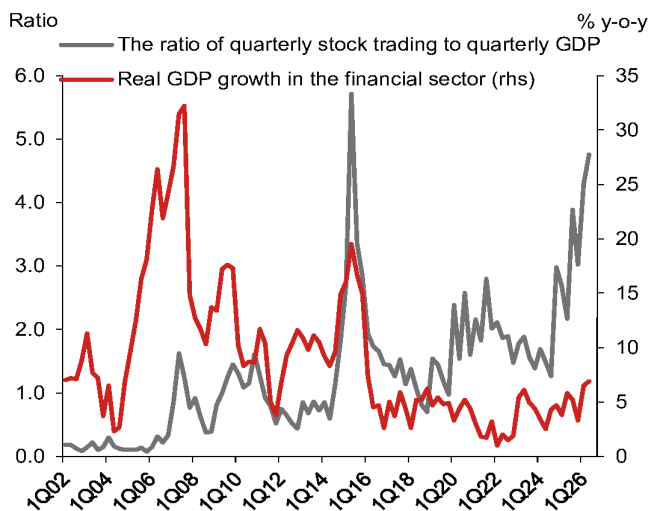
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The contraction in property and construction sectors deepened again

Real GDP growth in the construction sector worsened to -4.1% y-o-y in Q2 from -3.8% in Q1, while growth in the property sector edged down to -0.2% from -0.1%. As property-related construction activity comprises part of the construction sector, we combine construction and property sectors to assess the impact of the property fallout. Specifically, their combined real GDP growth rate was -2.3% y-o-y in Q2, worsening from -1.6% in Q1. Nevertheless, we believe the actual deterioration might be much more acute than the GDP numbers suggest. According to monthly data from the NBS, new home sales (by floor space), new home starts and new home completions remained in deep contractionary territory, at -12.7% y-o-y, -25.7% and -21.9%, respectively, in Q2, compared with their Q1 growth rates of -10.4%, -20.3% and -25.0%.

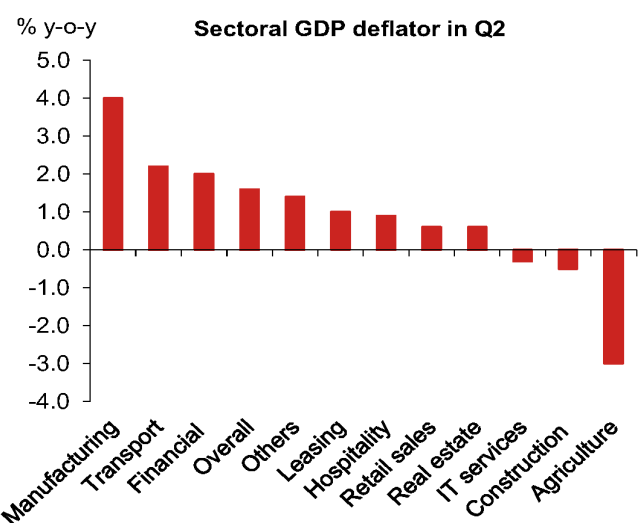
In the meantime, the combined nominal GDP growth of construction and property sectors was -2.3% y-o-y in Q2, up from -4.2% in Q1. By contrast, FAI growth of infrastructure and property investment slumped to -8.6% y-o-y and -23.0%, respectively, in Q2 from 9.2% and -11.2% in Q1. This stark difference calls into question the quality of the investment data.

Fig. 1: Financial sector grew at fastest pace in a decade



Source: NBS, Wind, Nomura Global Economics.

Fig. 2: GDP deflator broadly turned positive



Source: NBS, Wind, Nomura Global Economics

Goods consumption fared worse than services consumption

Real growth in the wholesale & retail sales sector dropped to 3.3% y-o-y in Q2 from 4.1% in Q1, dragged down by payback effects from the scaled-back trade-in program, as well as weak consumer sentiment amid the perennial property crisis, despite the decent stock market performance alongside the AI boom.

Nominal growth in the wholesale & retail sales sector moderated to 4.9% y-o-y in Q2 from 5.0% in Q1. The monthly data from the NBS pointed to even weaker growth, as average monthly merchandise retail sales growth only slowed to 0.0% y-o-y in Q2 from 2.2% in Q1. In view of limited policy space for short-term stimulus, we revised down our H2 retail sales growth forecast to 3.0% y-o-y from 3.6%, with our full-year forecast lowered to 2.2% from 3.2%. As such, we expect the wholesale and retail sales sectors to remain a drag on overall economic growth.

Real growth in the hospitality and catering sector improved to 5.1% y-o-y in Q2 from 4.3% in Q1, and its nominal growth increased to 6.7% from 5.7%. This appears to contradict the retail sales value growth of catering services reported by the NBS, which showed nominal growth of catering services dropped markedly to 1.3% y-o-y in Q2 from 4.2% in Q1. Moreover, retail sales value growth of overall services fell to 5.3% y-o-y ytd in June from 5.5% in March. Despite the discrepancy between supply-side sector growth and monthly retail sales data, we believe services consumption has fared better than goods consumption this year (see [China: Retail sales revisited](#), 2 July 2026).

Overall, consumption-related sectors should remain a drag on overall GDP growth, as the share of the hospitality and catering sector in overall GDP (4.6%) is much smaller than the wholesale and retail sales sector (10.3%).

Logistics sector growth rose on booming exports

Real growth in the transport, storage and postal sector increased to 5.1% y-o-y in Q2 from 4.3% in Q1, and its nominal growth also rose to 7.3% from 5.7%. This was likely driven by both *surging exports* and *rising transport fuel prices*. Export growth jumped to 20.2% y-o-y in USD terms in Q2 from 17.3% in Q1. With crude oil price inflation jumping to 55.3% y-o-y in Q2 from 7.5% in Q1, transport fees likely also surged notably. On the other hand, real activity in domestic e-commerce and postal services likely remained subdued amid weak domestic demand conditions.

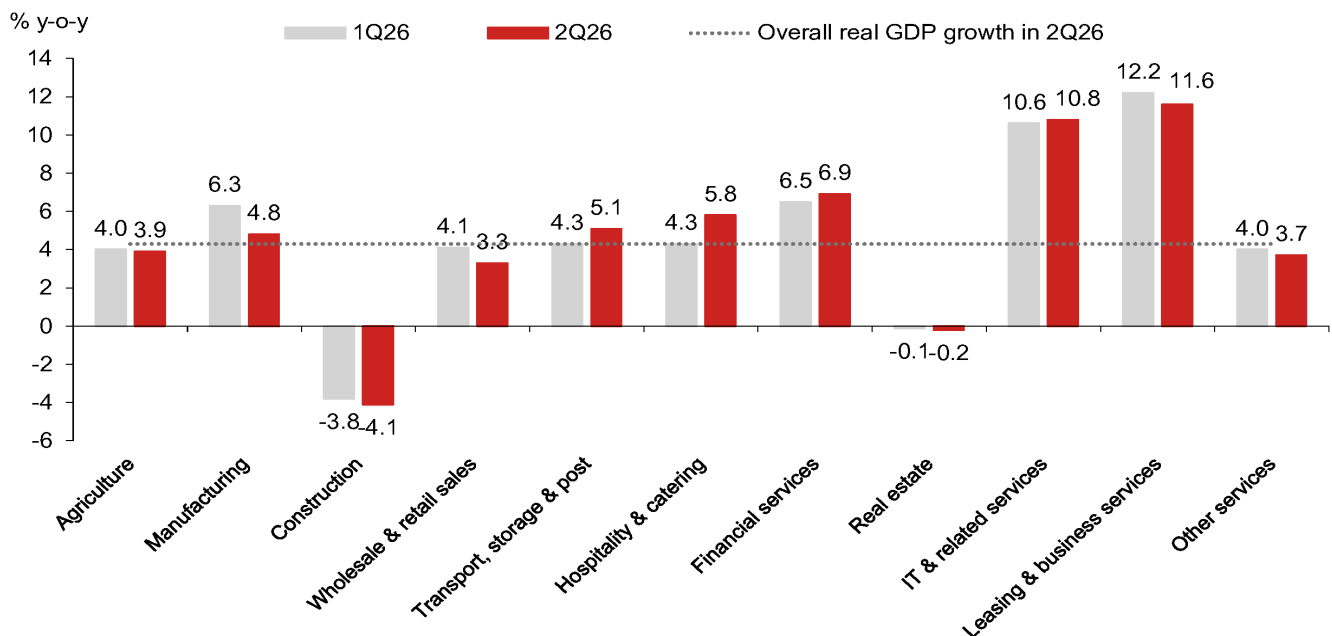
Growth rates across IT- and leasing-related services remain high

Among all sub-sectors, real growth in IT and related services registered the second-highest reading at 10.8% y-o-y in Q2, largely unchanged from 10.6% in Q1. This elevated growth rate was likely underpinned by strong AI-related computing and software demand. Nominal growth in IT and related services rose to 10.5% y-o-y in Q2 from 10.3% in Q1, with the improvement likely driven by surging prices of tech-related products amid *rising chip prices*. The strongest sectoral growth was posted by leasing and business services, which encompasses leasing of machinery equipment, advertising, consulting and legal services. Real and nominal growth in this sector moderated only slightly to 11.6% y-o-y and 12.6%, respectively, in Q2 from 12.2% and 13.1% in Q1.

Most sectors recorded positive GDP deflators

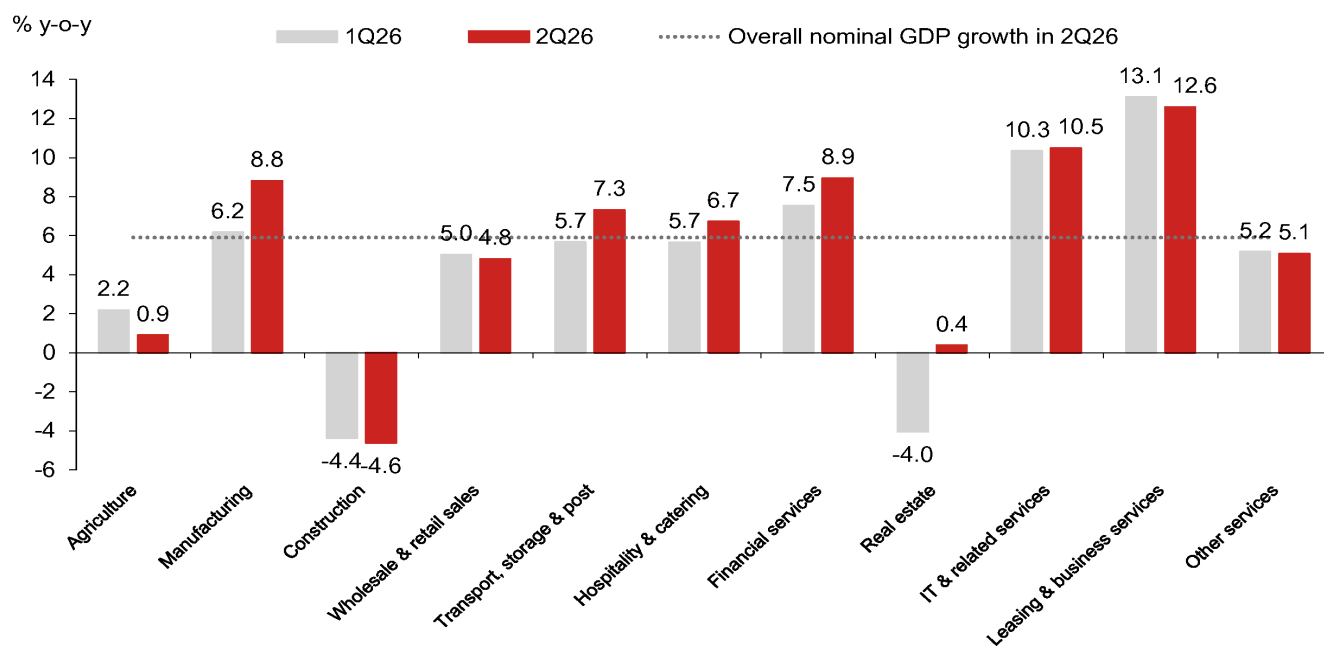
The overall GDP deflator turned positive for the first time since Q1 2023, rising markedly to 1.6% y-o-y in Q2 from -0.1% in Q1. The sectoral breakdown data suggest positive deflators were reported for the sectors of manufacturing (4.0%), transport, storage & post (2.2%), financial services (2.0%), leasing services (1.0%), hospitality & catering (0.9%), wholesale & retail sales (0.6%), and property (0.6%), while negative deflators were recorded for sectors of IT services (-0.3%), construction (-0.5%) and agriculture (-3.0%). We believe the positive GDP deflator was mainly driven by external forces, especially higher prices of oil and chips, rather than domestic demand. The negative deflator for the construction sector reflects still-weakening construction demand, as the property downturn drags on.

Fig. 3: Sectoral growth breakdown: real GDP



Note: The "other services" sector includes seven industries: scientific research & technical services; water, environment & public facility services; household services, repairs & other services; education; medical care & social work; culture, sports & recreation; and public management, social security & social organization.

Source: Wind, Nomura Global Economics.

Fig. 4: Sectoral growth breakdown: nominal GDP

Source: Wind, Nomura Global Economics.

Appendix A-1

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